

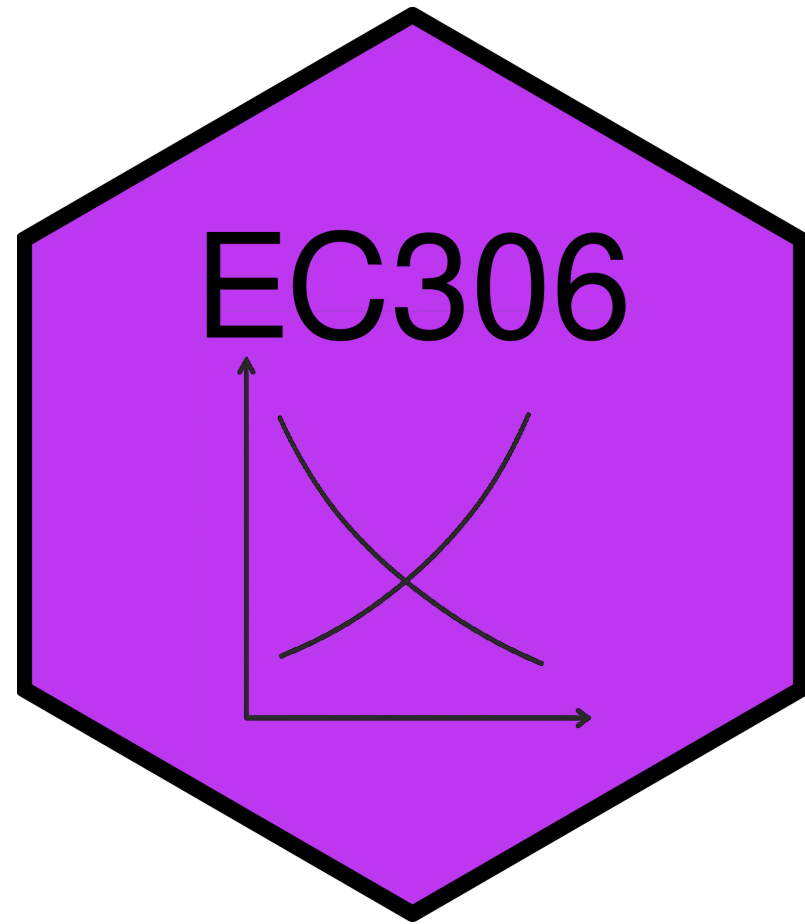
Labour Supply 2 In-Class Questions

EC306- Wages and Employment

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BGLRS Chapter 3 Problem 6

Consider the following earnings supplement program, modelled after the Self-Sufficiency Project. An individual can work a maximum of 60 hours per week, at a wage rate of \$5 per hour. Welfare benefits are fixed at \$200 per week, with a 100 percent tax back on labour earnings. Finally, the earnings supplement equals half the difference between an individual's labour earnings and the benchmark earnings of \$450 per week. This supplement can be collected only if the individual forgoes welfare benefits and works a minimum of 30 hours per week. Draw the individual's budget constraint, and analyze the work decision.

BGLRS Chapter 3 Problem 7

The different programs discussed in this chapter often have ambiguous effects on work effort. It is, nonetheless, possible to compare the work incentives of two programs by looking at what happens when the individual is indifferent between two programs. Use this approach to compare the work incentives of the following two pairs of programs. In both cases, use graphs to show the hours of work chosen under the two programs by an individual who is indifferent between the two programs.

a. Earned income tax credit compared to welfare

BGLRS Chapter 3 Problem 7

a. Wages subsidy compared to a negative income tax